

THE 5-MINUTE TRADER — STRATEGY DOCUMENT

UPFRONT RULES (Read Before Trading)

Account & Position Sizing

- Trade **20% of your account only**
- You can split this 20% across **multiple contracts**
- **Avoid contracts under \$100** (too volatile, too fast)

Expiration

- Use **0DTE** (zero days to expiration)
- Or **tomorrow's expiration** (use this when volatility is extremely high, premiums are too expensive, or you want smoother/less jumpy price movement — tomorrow's expiration is more stable but still fast enough for the strategy)
- Usually trade **SPX**, sometimes **SPY**

What the Strategy Is

The 5-minute trading strategy uses the **first 5-minute candle** to aim for a **10-20 point price target on ES**.

- We **chart ES**
- We **trade SPX options**
- **ES is the most accurate representation of market direction, so we use it to chart price lines before trading SPX options. Both ES and SPX track the S&P 500. SPX moves with ES, but costs more for the same market move. Think of ES as the map and SPX as the car you use to drive.**
- **10 points on ES is ALWAYS the first target.**

The strategy uses:

- **9 / 21 / 200 EMAs** for confluence
- **1-hour chart** to determine trend
- **Two trade opportunities**
 - **Trade 1** (first 5-minute candle scalp)
 - **Trade 2** (retest & continuation)
- Some days you **skip Trade 1** if the market is too choppy.

Volume

- Volume tells you whether the trend has fuel — rising volume = strength, falling volume = weakness (especially if multiple bars stay the same size for several candles in a row).
- Falling volume means the trend is dying, while rising volume means a continuation is building.
- Green volume bars only support bullish momentum when price is above the 9 EMA and the 9 EMA is above the 21 EMA. Red volume bars only support bearish momentum when price is below the 9 EMA and the 9 EMA is below the 21 EMA.

Thinkorswim Platform Basics

- The **Trade tab** shows the **options chain**
- Purple highlight = **at-the-money** (intrinsic value)
- An options chain = list of all available calls/puts for an index
- LEAPS = options expiring a year+ out (Heather doesn't use these)

How to Enter an Option Trade

- Go to **Charts** tab
 - Type in **SPX**
 - Click the dropdown under the chart
 - Select **Option**
 - Choose your contract
 - Heather will cover this in a bonus video
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THE TWO 5-MINUTE STRATEGIES

There are **two** ways to trade the 5-minute strategy:

1. **Strategy 1 — First 5-Minute Candle Break (Scalp)**
2. **Strategy 2 — Retest & Continuation (Safer)**

Some days you **only use Strategy 2** if the market is too choppy.

5-MINUTE STRATEGY 1 — FIRST 5-MINUTE CANDLE BREAK (SCALP)

We chart ES, but we trade SPX options.

Pre-Market Preparation on ES

1. Mark **pre-market resistance and support lines**
2. Mark **9/21 EMA cross** and **200 EMA**
 - On the **1-day chart**
 - On the **4-hour chart**
3. Move to the **5-minute chart**
 - **Look left** for pre-market choppiness
 - If choppy → **draw a chop box**
 - Choppy = many inside candles, sideways movement
 - Mark any **pre-market price levels** on the 5-minute chart
 - These become **targets** and **exit zones**

Mark the First 5-Minute Candle

4. Mark the **top** and **bottom** of the first 5-minute candle
5. Draw a line **10 points above** the top
6. Draw a line **10 points below** the bottom
 - These lines mark where you would exit the trade
7. Identify any **support or resistance lines** in the breakout direction
 - These may reject price
 - These may become your exit target

Entry Logic

8. If pre-market was **choppy**, do NOT enter immediately. Wait for the first candle to:
 - Break out of the chop box
 - AND break one of the 5-minute lines
 - Even if the candle is half inside / half outside the box
9. When this breakout happens → **enter the trade**

Exit Logic

10. Exit when price reaches the **nearest support or resistance line**. If price reaches the 200 EMA in the direction of your trade, you exit — it counts as support/resistance and is usually the strongest support/resistance.
 11. Ideally this exit should be **at least 10 points** from the nearest 5-minute line
 - This satisfies your **10-point target**
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5-MINUTE STRATEGY 2 — RETEST & CONTINUATION (SAFER)

Used when the market has a **chop box** or when Strategy 1 is too risky.

Entry Logic

1. Wait for a candle to break out of the chop box **completely**
2. The breakout candle must **float** above or below the box
3. Breakout must match the **9/21 EMA cross direction**
 - Bullish cross → breakout bar must be **green**
 - Bearish cross → breakout bar must be **red**
4. Enter once the breakout candle confirms direction

Exit Logic

5. Exit when price reaches the **next resistance or support line**
6. Confirm momentum using the **9 EMA**
 - Rising trend → candles track **above** the 9 EMA
 - Falling trend → candles track **below** the 9 EMA
7. Your exit target is **20 points** from entry

Trailing Stop / Runner Logic

8. Set two planned exits:
 - **10-point exit**
 - **20-point exit**
 9. At **10 points**, sell most of your contracts
 10. Keep **1 or a few runners**
 11. Runners exit only when the **20-point target** is hit
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Execution

Whichever strategy you choose, **you enter the trade in Thinkorswim using SPX options.**

ONE-PAGE CHEAT SHEET — 5-MINUTE TRADER

UPFRONT RULES

- Trade **20% of your account** (split across multiple contracts).
 - Avoid contracts **under \$100**.
 - Use **0DTE or tomorrow's expiration**.
 - Chart **ES**, trade **SPX** (or SPY).
 - **10 points on ES is ALWAYS the first target**.
 - Uses **9/21/200 EMAs + 1-hour trend**.
 - Two trades exist: **Trade 1 (scalp)** and **Trade 2 (retest)**.
 - Skip Trade 1 if the market is too choppy.
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TRADE 1 — FIRST 5-MINUTE CANDLE BREAK (SCALP)

Pre-Market Prep (on ES)

1. Mark pre-market **support/resistance**.
2. Mark **9/21 EMA cross + 200 EMA** on **1D** and **4H**.
3. On the **5-minute chart**:
 - Look left for **choppiness** → draw **chop box** if needed.
 - Mark pre-market levels (targets/exits).

Mark the First Candle

4. Mark **top** and **bottom** of the first 5-minute candle.
5. Draw a line **10 points above** the top.
6. Draw a line **10 points below** the bottom.
7. Identify any **support/resistance** in breakout direction.

Entry

8. If choppy → wait for candle to:
 - Break out of chop box
 - AND break one of the 10-point lines
 - Even if half-in/half-out
9. Enter on breakout.

Exit

10. Exit at nearest **support/resistance**.
 11. Ideally $\geq$ **10 points** from breakout line.
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TRADE 2 — RETEST & CONTINUATION (SAFER)

Entry

1. Wait for candle to break **fully** out of chop box.
2. Candle must **float** above/below the box.
3. Breakout must match **9/21 EMA cross direction**
 - Bullish → green bar
 - Bearish → red bar
4. Enter on confirmed breakout.

Exit

5. Exit at next **support/resistance**.
6. Confirm momentum with **9 EMA**:
 - Uptrend → candles above 9 EMA
 - Downtrend → candles below 9 EMA
7. Target = **20 points**.

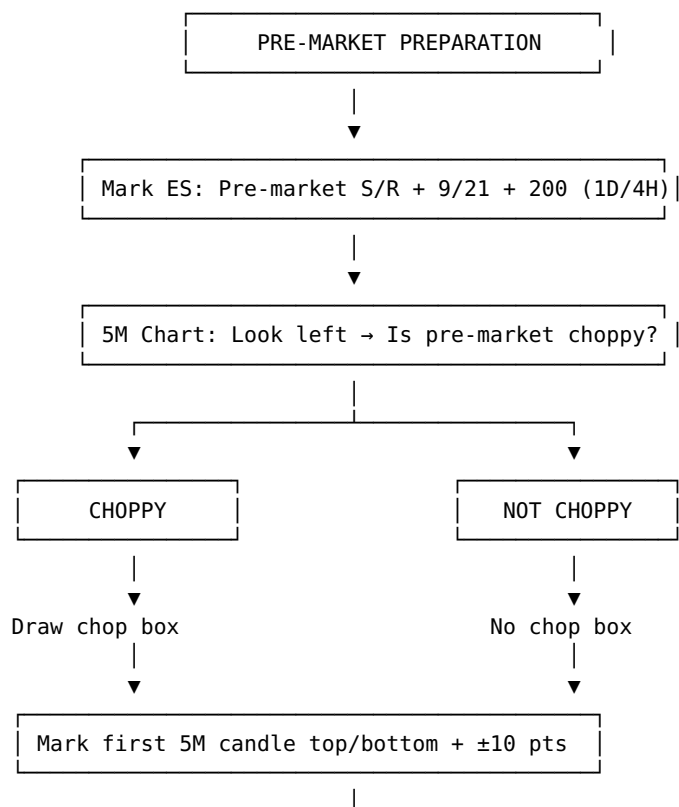
Trailing Stop / Runners

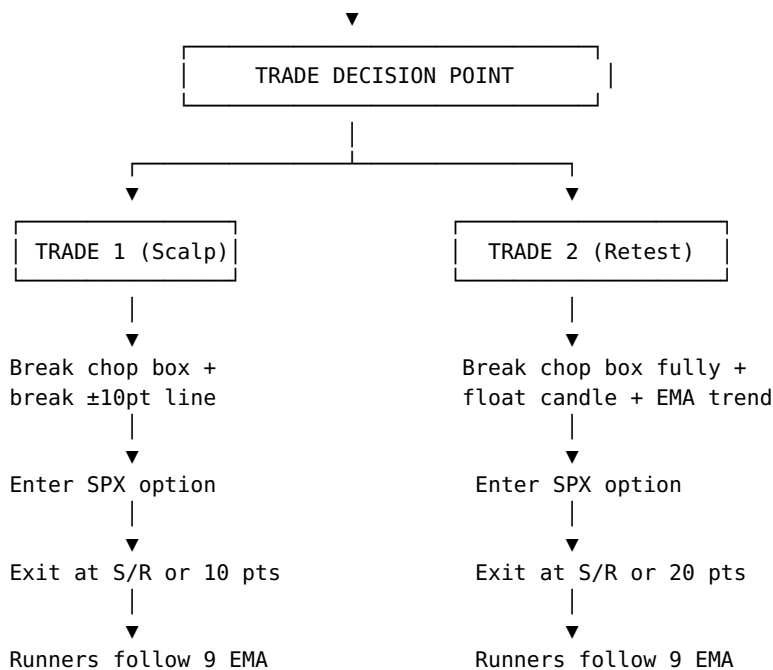
8. Two exits: **10 points** and **20 points**.
 9. Sell most at **10 points**.
 10. Keep **runners** until **20 points**.
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Execution

Enter trades in **Thinkorswim** using **SPX options**.

VISUAL FLOWCHART — 5-MINUTE TRADER





STEP-BY-STEP MORNING CHECKLIST

PRE-MARKET (ES)

- ☐ Mark pre-market **support/resistance**
- ☐ Mark **9/21 EMA cross** on 1D
- ☐ Mark **200 EMA** on 1D
- ☐ Mark **9/21 EMA cross** on 4H
- ☐ Mark **200 EMA** on 4H
- ☐ Switch to **5-minute chart**
- ☐ Look left for **choppiness**
- ☐ If choppy → **draw chop box**
- ☐ Mark pre-market levels on 5M
- ☐ Identify nearby **support/resistance** for exits

FIRST 5-MINUTE CANDLE

- ☐ Mark **top** and **bottom**
- ☐ Draw **+10 point line** above
- ☐ Draw **-10 point line** below
- ☐ Identify nearest **S/R** in breakout direction

TRADE 1 — SCALP

- ☐ Was pre-market choppy?
 - If yes → wait for breakout of chop box
- ☐ Did candle break ±10pt line?
- ☐ Enter SPX option
- ☐ Exit at nearest S/R (ideally ≥10 pts)

TRADE 2 — RETEST

- ☐ Candle breaks chop box **fully**
- ☐ Candle floats above/below box
- ☐ Breakout matches **9/21 EMA cross**
- ☐ Enter SPX option
- ☐ Exit at next S/R
- ☐ Confirm momentum with **9 EMA**
- ☐ Sell most at **10 pts**
- ☐ Hold runners to **20 pts**

EXECUTION

- ☐ Trade **20% of account**
- ☐ Avoid contracts < \$100
- ☐ Use **0DTE or tomorrow expiration**
- ☐ Enter via **Thinkorswim → Charts → SPX → Option**